



“The US remains one of the most preferred destinations. This is due to... availability of quality institutions, capacity increase for student visas and reduction in waiting time”

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ANKIT MEHRA

CHIEF EXECUTIVE
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“Across multiple international master’s courses, we see expenditure varies significantly. Per a HolonIQ report, this ranges from around \$10,000 a year to over \$100,000”

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choice of borrowing \$50,000 at 10 per cent or ₹41 lakh at 12 per cent, at first glance it may seem that the first option is better. But, you must see the bigger picture. Over the long run, the rupee’s value tends to depreciate. At present, the exchange rate is around 82 to the dollar, but with the expected 4 per cent annual depreciation in the currency, students who opt for the dollar loan will have paid back an additional ₹4 lakh over the life of the loan, compared with those who choose the INR option.

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Finally, keep an eye out for associated costs. These can include interest rates, processing fees for loan applications, administrative charges, prepayment or foreclosure charges, late payment penalties, and loan insurance premiums. Additionally, there would be forex costs levied for foreign education loans.

You also need to pay tax collected at source (TCS) at 0.5 per cent if the amount transferred is over ₹7 lakh as there is no TCS up to that level. In the case of self-financing, TCS is levied at 5 per cent. The TCS paid can be claimed as refund while filing income tax returns.

“It is crucial to compare rates and fees from different lenders to find the most favourable terms. An APR (annual percentage rate) is a standardised metric to compare different loan offers. However, this is not widely advertised in the Indian context, which makes the comparison harder. Platforms like GyanDhan provide

the customer with guidance on picking the right loan in the absence of these standardisations,” says Mehra.

APR is a comprehensive measure that encompasses both the interest rate and any associated fees or additional expenses, revealing the total cost of borrowing.

Since foreign education is costly, relying solely on savings may be risky. It is wise to explore alternative funding options. Always look for scholarships as they can reduce your burden substantially. “Begin by researching various scholarship opportunities through websites (Buddy4Study, GyanDhan), university websites, government portals (National Scholarship Portal, Vidyasaarathi), and financial aid offices. Look for scholarships that align with your field of study and qualifications,” says Mehra.

It is also imperative to understand the importance of documentation. “Some important documents like KYC (know your customer), academic transcripts, details regarding course and fee, co-borrower’s KYC and income details, university acceptance letter, and collateral documents play a critical role in the application process. Any incomplete document or misrepresentation of information will result in rejection,” says Kachave of Avanse.

And last, but definitely not least, keep an eye on your credit score as it plays an important role while applying for an education loan. **BT**

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